Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

Isle of Man National Risk Assessment

Banking

OCTOBER 2025

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In this assessment...

This assessment of the banking sector's exposure to money laundering risks builds upon the 2020 ML/TF NRA. The assessment highlights that the banking sector remains central to the Island's economy, holding over £40 billion in deposits and processing £80 billion in annual payments. Most business is international, with strong links to the UK and South Africa. The IOM banking sector is resilient, well-regulated, and committed to maintaining high AML standards. The sector is subject to robust regulation and oversight, with a strong legal and supervisory framework in place.

As an IFC, the IOM has an increased risk of foreign proceeds of crime entering the banking system:

The banking sector faces threats from fraud, tax evasion, drug-related crime, organised crime, and bribery/corruption. Ongoing vigilance, continuous improvement, and sector-wide collaboration will ensure the sector remains able to combat ML threats.

Controls have strengthened since the last assessment:

The assessment confirms that the sector demonstrates strong controls in respect of the legal framework, supervision, sanctions, staff integrity, AML knowledge, compliance, and market pressure to meet standards. Significant improvements have also been made in data submission and business understanding since 2020. Collaboration between banks, regulators, and law enforcement continues to develop, notably through the IOM Financial Crime Partnership.

The overall assessment shows that the banking sector has a Medium-High risk of Money Laundering:

Overall risk is driven by the banking sector's international profile, rapid transaction capabilities, and exposure to evolving threats such as cyber-enabled crime and complex cross-border transactions. Skills and resource gaps, as well as cybersecurity threats, have been identified and require proactive management.

The assessment identifies several recommendations:

Recommendations include expanding available typology documents and sharing case studies to strengthen sector controls; developing targeted workstreams to reduce fraud risk through enhanced collaboration and continuing to improve data quality and analytics to better understand financial flows. Key findings from this report will be incorporated into the overarching Money Laundering NRA and the upcoming National Action Plan.

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CHAPTER 1

Introduction from the Chair of the Financial Crime Strategic Board



Dan Davies
Chair of the Financial Crime Strategic Board and Chief Officer of Home Affairs

I am pleased to introduce this money laundering risk assessment for the banking sector in the Isle of Man. The Financial Crime Strategic Board (FCSB) would like to thank the Isle of Man Bankers' Association for its assistance in conducting this risk assessment and in particular, representatives from the sector who participated in the Banking Working Group.

In recent years the banking sector has actively participated in several thematic reviews that the Isle of Man Financial Services Authority (FSA) has undertaken and published, and this National Risk Assessment comprehensively builds upon the previous 2020 money laundering and terrorist financing risk assessment. The FCSB recommends that the sector reviews the findings of this assessment, and ensures that, where required, identified actions are adopted into business, customer and technology risk assessments as appropriate.

Banking is central to our Island economy and fundamental to the safe and effective operation of both domestic and international businesses established here. The FCSB therefore also urges other financial sectors and designated businesses to read this report and where relevant review their own activities accordingly[1]. An overall National Risk Assessment for money laundering (with a summary of the key findings of this report) and National Risk Assessments for terrorist financing and proliferation financing, will also be published. ■

> "Banking is central to our Island economy and fundamental to the safe and effective operation of both domestic and international businesses established here."

1 The consideration of the Island's NRA as part of entities' business risk assessment is required by the Anti-Money Laundering and Countering the Financing of Terrorism Code 2019. Further information regarding the approach to be taken is provided in the FSA's AML/CFT Handbook.

CHAPTER 2

Executive Summary

This executive summary presents the principal findings from the Isle of Man's latest Banking sector Money Laundering Risk Assessment, aligning with the broader National Risk Assessment framework and building on the 2020 ML/TF NRA.

Undertaking an NRA is a core requirement of the FATF, the international body responsible for setting and reviewing global standards for anti-money laundering, countering the financing of terrorism and the proliferation of weapons of mass destruction (AML/CFT/CPF). The FATF 40 Recommendations provide the international standards which all countries are expected to meet; it is IOM Government policy to adhere closely to these recommendations. The focus of this report is on ML risks, with separate assessments planned or published for Legal Persons and Arrangements, Virtual Assets, Terrorist Financing, Non-Profit Organisations, and Proliferation Financing. A horizontal Executive Summary is planned once all NRAs are complete.

2.1 The Isle of Man's banking sector serves both domestic and international customers, with banking forming a critical component of the Island's financial system and economy. The sector is largely comprised of branches or subsidiaries of major UK and international banks and is fully regulated by the FSA.

2.2 KEY HIGHLIGHTS FROM THE ASSESSMENT INCLUDE:

- **Sector Size and Activity:** The sector employs approximately 2,000 people and holds over £40billion in deposits, processing nearly £80billion in annual payments. Banking represents **7.6%** of the Island's national income, third only to insurance **(17%)** and online gambling **(13.6%)**.
- **International Profile:** The Isle of Man is an international finance centre, and the majority of business - by value and number of clients - is international in nature, especially with strong connections to the UK and South Africa. This international profile increases the sector's exposure to cross-border money laundering threats, particularly the risk of foreign proceeds of crime entering the financial system.
- **Risk Assessment:** Using the World Bank methodology, the overall risk of ML to the sector is assessed as **medium-high.** The risk level is a product of the **medium-high** threat facing the banking sector, and a **medium** residual vulnerability to ML (i.e. after considering mitigating controls). Inherent vulnerabilities remain in products and services with international features, rapid transaction capabilities, exposure to foreign politically exposed persons (PEPs), use of cash, and level of robustness of technological controls. This overall banking risk level has increased from **medium** since the 2020 NRA and is a product of an increasing threat landscape, rather than a reduction in the banking sector controls.
- **Vulnerable Segments:** The most vulnerable segments are international deposit services and certain corporate/trust services, each with high inherent vulnerability scores. However, final vulnerability is reduced following application of AML controls.
- **Trends and Emerging Risks:** The banking sector has seen an increase in Suspicious Activity Reports (SARs) from 2021 to 2024, largely driven by international threats such as fraud, tax evasion, organised crime, and the use of virtual assets as well as increasing awareness in the sector of the requirement for SAR reporting. There is also a rising threat from Asian and ›

UK-based organised crime groups and the increasing pace and complexity in financial flows. This is reflected in ongoing investigations, including in relation to online gambling and cyber enabled crime.

- **Supervisory and Legal Framework:** The Isle of Man maintains a comprehensive legal and supervisory structure, and recent regulatory enhancements have targeted areas such as business introducers, PEPs, and targeted financial sanctions risk management. Ongoing risk-based supervision, thematic reviews and enforcement actions continue to strengthen AML/CFT/CPF systems and controls.

- **Data Limitations**: Since the 2020 NRA, banks have been required to prepare and submit more data to the FSA. This data is used by the FSA to help assess ML risks and can also be useful to banks to aid their own business understanding and risk assessment. To support this process, the FSA asked banks' internal audit functions to conduct reviews in 2025. The findings to date have identified areas for improvement but did not affect the overall sector assessment. They highlight the importance of ongoing data quality efforts particularly in areas such as financial flows where the consideration of continuous improvement should be embedded.

2.3 While the Isle of Man banking sector has made progress in strengthening its controls and mitigating many of the inherent vulnerabilities associated with its international and domestic activities, vigilance remains crucial. Ongoing global trends - such as the evolution of new payment technologies, growth in cross-border business, and the expansion of organised crime typologies require the sector and authorities to continually adapt their risk management strategies and operational resilience.

2.4 Overall the banking sector continues to present one of the highest levels of money laundering (ML) risks of the Isle of Man's financial services sector. While other sectors such as some Designated Non-Financial Businesses and Professions (DNFBPs), payment institutions offering cross-border money transfer services and Trust and Corporate Service Providers have inherently higher ML risk profiles, the banking sector remains at risk of being used as a conduit for illicit financial flows.

2.5 SUMMARY OF PROPOSED ACTIONS

The banking sector ML risk assessment identifies a small number of areas for improvement; these are aligned to the strategic aims from the National Financial Crime Strategy 2024-2026. The actions are outlined in Section 11 of this report and summarised below.

- As part of embedding the operation of the IOMFCP for the banking sector, a programme of preparing and publishing typologies based on actual cases should continue to be expanded. This will assist the sector to continue to improve, learn and develop and maintain a robust control environment.

- To continue to help protect customers of banks in the IOM, relevant stakeholders (banks, the FSA, FIU, other Government agencies) should continue to develop workstreams to help reduce fraud risks, not only from the ML perspective, but more generally. The IOMFCP is expected to play a role in this work.

- The FSA should continue to work with banks on ensuring the data it receives is of good quality and accurate, and if necessary, provide further guidance for banks.

- Taking into account the supervisory structure within the FSA, and improvements in data systems and analytical capability that has been implemented, policies and procedures should be put in place to document how the data is used and analysed, how frequently reports are produced and their scope and content, and to which parties such reporting is made (including outside the FSA, for example to the FIU, banks, and IOMFCP).

- The FSA should consider conducting a review of the financial flow data points, in conjunction with stakeholders (including banks), and whether there is merit in considering expanding this to capture flows by certain business or customer segments. ■

CHAPTER 3

Introduction

3.1 This banking report forms part of the overall Money Laundering (ML) National Risk Assessment (NRA) for the Isle of Man (IOM). It builds on the findings of the 2020 ML/TF NRA. It does not seek to unnecessarily duplicate the comprehensive work which supports the previous NRAs and the recently published **A Profile of the Isle of Man (2025)**[2] document, which sets out further information concerning the political, economic and legal structures in the IOM.

3.2 The IOM is an international finance centre (IFC); this means that, in addition to domestic ML threats, the IOM is exposed to general ML threats that can arise from the use of a wide range of financial and non-financial services to launder the proceeds of crime derived from foreign predicate offending.

3.3 As with most IFCs, previous NRAs have highlighted that the services provided in the IOM may be used to conceal the proceeds of crime or to conceal or disguise the origins of those proceeds, through international transfers of funds and the use of complex corporate structures. The IOM may also be exposed to some specific product/service/sector or structural ML threats.

3.4 Banking is at the heart of the financial system in the IOM providing services to both domestic and international customers. There has been a significant change in recent years in the way in which money moves globally, with the development of virtual assets, new challenger banks and growth of payment providers, as well as increased use of digital banking more generally.

3.5 Nevertheless, domestic and international customers continue to rely significantly upon the dependability and integrity of the international banking groups represented in the IOM. Banking is the second largest financial sector in the IOM, it employs some 2000 people, holds over £40bn in deposits, and handles nearly £80bn of payments inwards and outwards annually.

3.6 The wide range of international services available through other parts of the Island's economy rely upon the banking system, and therefore the robustness of banking AML controls is fundamental to help in the detection and prevention of financial crime and protect the reputation of the IOM.

3.7 HOW INDUSTRY SHOULD USE THIS REPORT

Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this report. Given a number of NRAs are being published over several months, it is acceptable to consider each NRA as it is published but update the overall BRA at its next formal review date. Consideration should also be given to the Customer Risk Assessment (CRA) and Technology Risk Assessment (TRA) and if these require updating. ›

"There has been a significant change in recent years in the way in which money moves globally, with the development of virtual assets, new challenger banks and growth of payment providers, as well as increased use of digital banking more generally."

2 'A Profile of the Isle of Man' 2025

CHAPTER 4

Methodology

4.1 The Island is using the World Bank (WB) methodology for its risk assessment work except for PF where the Royal United Services Institute methodology is used. The WB methodology was used for the 2015 and 2020 ML/TF NRAs.

4.2 This Banking Risk Assessment uses the WB ML Risk Assessment Tool which aims to:

- identify the overall vulnerability of the Banking sector;
- identify bank products/services/channels with high vulnerability;
- prioritise action plans that will strengthen AML controls in the Banking sector

4.3 Data, statistics, and information used for completing the Risk Assessment Tool modules, as well as findings, interpretation, and judgment under the scope of the Risk Assessment, completely belong to the IOM authorities and do not reflect the views of the World Bank Group. ■



CHAPTER 5

Data used and limitations

5.1 This Risk Assessment uses the best available data covering the period since the publication of the last NRA. There are several sources, with the main ones being:

- annual AML/CFT returns[3] submitted by banks to the FSA
- quarterly inflow and outflow data of payments[4] submitted by banks to the FSA categorised by country
- quarterly financial (regulatory) returns submitted by banks to the FSA (as the prudential and conduct supervisor)
- FSA central back-office supervisory system
- data obtained from requests to industry solely for the purpose of this risk assessment
- data from the Financial Intelligence Unit (FIU)
- data from the International Cooperation and Asset Recovery Team (ICART) on Mutual Legal Assistance
- Data from the Proactive International Money Laundering Team (PIMLIT)

5.2 In addition, various externally published documents have been consulted, including several NRAs and Mutual Evaluation Reports from other countries to consider if any risks may affect the IOM where there are similar types of activities carried on.

5.3 In the WB methodology, the ML risk assessment tool treats ML risk as a product of two main components: threat and vulnerability. This banking sector assessment updates the findings from the 2020 NRA. It reflects the substantial improvements in the data that is supplied to the FSA from industry, as well as the recent creation of the IOM's Public Private Partnership namely the IOM Financial Crime Partnership (IOMFCP).

5.4 The assessment has been prepared using informed judgement from the Island's key agencies, government, regulators and representatives from the Isle of Man Bankers' Association who participated in the Banking Working Group. The working group comprised of the FSA, the FIU, the Isle of Man Cabinet Office (AML/CFT Policy Office) and representatives of several banks with differing profiles. ›

"This banking sector assessment updates the findings from the 2020 NRA. It reflects the substantial improvements in the data that is supplied to the FSA from industry."

3,4 In 2025, the FSA requested banks' internal audit functions to undertake a review of the quality, accuracy, and governance processes in place in respect of this data set.

CHAPTER 6

Characteristics of the banking sector in the IOM

6.1 The IOM banking sector is a mature sector, which is fully regulated and supervised by the FSA. The sector has seen consolidation over time resulting in there being a smaller number of banks which are mainly branches or subsidiaries of larger UK and international banking groups, which are themselves subject to regulation and supervision at group or bank level outside the Island.

6.2 As detailed in the Isle of Man National Income 2022/23 Report banking is **7.6%** of the national income. This compares to insurance, the largest sector of the economy at **17%** and online gambling which contributes **13.6%**.

6.3 As of 31 December 2024 there were 11 banks operating in the IOM (and one bank representative office). The countries of origin (ultimate parent bank / group) for the current 11 banks are:

Figure 1: Countries of origin for banks in the IOM

UK	Spain	South Afica	Trinidad & Tobago	Isle of Man
4	1	3	1	2

Source: FSA banking bulletin

6.4 Banks in the IOM provide traditional deposit taking and credit services to the domestic market, covering both individuals and businesses, as well as providing services to TCSPs, their client structures, and other corporate sectors including regulated firms. Domestic banking is mainly delivered through UK banking groups operating on the Island.

6.5 Banks also serve non-resident personal clients and, to a lesser extent, international businesses. In line with the Island's position as an IFC, this includes cross-border activity.

6.6 The transactional activity of banks in the IOM remains substantially traditional in nature with the most usual payment methods being bank transfers, debit cards, cash, and cheques.

6.7 The IOM's banking sector offers a broad range of financial products and services, including savings and current accounts, private and premier banking (tailored to high-income clients with enhanced service offerings), investment services, various types of lending such as mortgages, treasury services, and foreign currency accounts and exchange services.

6.8 As an IFC, many banking clients are non-resident, with a wide geographical spread by residency and nationality. The largest number of non-resident customers are from the UK, reflecting the close geographical and economic ties between the UK and the IOM. There is also a significant number of South African resident banking customers, reflecting the banking sector's long-standing links to that country. ›

6.9 The size and composition of the banking sector assets and liabilities is summarised in **figure 2** below. Over half of total deposits are from individuals (retail) and deposits overall continue to be used as a source of funding for the wider benefit of some banks' broader group operations (outside of the Island).

6.10 The overall trend has been one of stable growth, with deposits increasing by circa **33%** between 2020 and 2024 (an average annual rise of circa **7.5%**). This growth was driven mainly by 3 large banks and was partly due to foreign currency balances having higher sterling equivalent values in that period as GBP weakened. At the same time, rising interest rates introduced by banks to combat inflation made savings accounts more attractive to consumers seeking low risk returns. In parallel, improvements in digital banking platforms made it easier for people to manage and grow their savings. ■

Figure 2: Banking sector balance sheet 2020-2024[5]

	2020	2021	2022	2023	2024
	Value £bn	Value £bn	Value £bn	Value £bn	Value £bn
Retail deposits[6]	18.5	20.5	22.9	23.5	24.6
Corporate/trust/fiduciary deposits	10.9	10.9	12.9	12.5	12.1
Deposits/ loans from other banks (including group)	7.2	6.8	6.7	7.0	7.6
Other deposits	0.3	0.3	0.3	0.3	0.3
Total deposits	**36.9**	**38.5**	**42.8**	**43.3**	**44.6**
Other liabilities	0	1.0	1.5	1.6	1.6
TOTAL LIABILITIES	**37.8**	**39.5**	**44.3**	**44.9**	**46.2**
Loans due from group banks	24.2	25.7	30.0	31.0	31.6
Loans due from other banks and other marketable assets	5.9	5.3	4.9	4.1	4.0
Customer loans – mortgages[7]	2.9	3.1	3.2	3.0	3.1
Customer loans – retail	0.2	0.2	0.2	0.4	0.4
Customer loans – corporate/other	4.1	4.8	5.6	5.9	6.5
Other assets	0.5	0.4	0.4	0.5	0.6
TOTAL ASSETS	**37.8**	**39.5**	**44.3**	**44.9**	**46.2**

Source: banking bulletin and lending bulletin

5 Source: banking bulletin and lending bulletin, from prudential returns, published on FSA website.
6 On 31 Dec 2024 IOM resident individual deposits totalled £4.2bn, representing 17.1% of retail deposits by value.
7 On 31 Dec 2024 mortgages (net of impairment) to IOM residents / IOM property totalled £1.68bn (55% of total mortgages by value). 96% of IOM mortgages (by value) were owner occupied.

CHAPTER 7

Legal, Supervisory & Law Enforcement Framework

7.1 There is a comprehensive legal, supervisory, and enforcement framework for banking in the IOM. **Section 10.3** (AML Controls Assessment) below addresses the AML legal framework, supervision, sanctioning, and entry controls. See Appendix I and the Profile for the Isle of Man (2025) for further details regarding the relevant legislation, guidance, and other published documents. ■



CHAPTER 8

Actions identified in the 2020 ML/TF National Risk Assessment

8.1 The 2020 NRA assessed the Banking sector as posing a **medium** overall risk for money laundering. The inherent risk associated with domestic retail customers, including high-net-worth individuals (HNWIs), was rated as **medium.** However, the involvement of international retail clients (including HNWIs), corporate clients, and trust-related structures was assessed to carry a **medium-high** inherent risk due to their complexity, cross-border nature, and potential opacity.

8.2 Given the need to keep requirements up-to-date and make continuous improvements, there have been some enhancements and revisions to the framework since the 2020 NRA, although there were no Banking sector-specific recommended actions arising. One of the revisions of particular relevance to banks was the implementation of the updated "Introduced Business" paragraph within the AML/CFT Code 2019 ("the Code").

8.3 This new paragraph[8] mandated that, when a customer is introduced by one entity (the introducer) to another (such as a bank), and elements of customer due diligence (CDD) are provided by the introducer, the bank must assess the risk associated with the introducer as part of the broader customer risk assessment. This assessment should also consider internal mitigation factors, such as whether the customer has been met by staff of the receiving entity and the way CDD was obtained by the introducer.

8.4 Risk-based supervision of banks for AML/CFT/CPF has been ongoing for a long time and has continued to strengthen since the 2020 NRA. Specific work has been undertaken to evaluate the scope of risks faced by banks in the IOM. For example, the FSA undertook a thematic exercise between 2021 and 2023 to assess the AML/CFT/CPF preventative measures and controls that firms (including banks) apply in respect of foreign PEPs. This review identified areas where further improvements were needed in some banks to better demonstrate compliance with the Code requirements. Where appropriate, civil penalties were imposed to address deficiencies and reinforce regulatory expectations.

8.5 More recently, targeted work examining banks' systems and controls for managing sanctions risks has been undertaken. Thematic feedback was issued by the FSA in May 2025[9] and highlighted several positive outcomes. All inspected entities provided documented procedures and controls to manage sanctions risk, with most showing effective escalation and transaction monitoring processes. The FSA also noted thorough staff training programmes.

8.6 The 2020 NRA noted that the Banking sector was mature and that there was a comprehensive AML/CFT framework which included strong controls in place that helped to mitigate risk. However, the report drew attention to several areas where IOM banks might be vulnerable and which they needed to be aware of. As part of the current NRA, those 2020 vulnerabilities and associated threats have been reviewed; Figure 3 below sets out a summary with further information contained in **Section 9** (ML Sector Threat) and **Section 10** (ML Sector Vulnerability). ›

8 AML/CFT Code Paragraph 8. Section 9 - https://www.iomfsa.im/media/1520/appendixa.pdf
9 https://www.iomfsa.im/media/3436/sanctions-thematic-phase-2-report-may-2025.pdf

Figure 3: Summary of key vulnerabilities[10] and threats[11]

8.6.1 The international nature of business	Threat/Vulnerability Level
As an IFC, the Isle of Man has to respond swiftly to geopolitical developments and global emerging threats. The use of complex structures (corporate/trust), a low-tax regime for individuals and business, non-face-to-face channels/use of third parties, and changes to how customers may amass funds/wealth[12] can make it harder for banks to identify illegitimate business or transactions. These inherent vulnerabilities can be exploited by criminals disguising/moving funds (including through ownership and identity theft), persons trying to evade/avoid tax, and sanctioned persons.	**Increasing threat** **Stable vulnerability**
8.6.2 The fast transactional nature of services across a range of currencies	**Threat/Vulnerability Level**
Banks remain vulnerable to customer-targeted fraud, particularly involving unauthorised withdrawals from accounts. The rise of fintech and challenger banks has coincided with an increase in the threat of authorised push payment (APP) fraud. Additionally, the ability to move funds rapidly across systems that now include fintech operators has created opportunities for criminals, including organised crime groups, to transfer large sums quickly and at volumes that can obscure the illicit nature of the transactions.	**Increasing threat** **Increasing vulnerability**
8.6.3 Banking of high-risk clients/foreign PEPs	**Threat/Vulnerability Level**
Providing banking services to certain markets or customer groups such as PEPs and Commercially Exposed Persons (CEPs) can heighten the risk of banks receiving or processing the proceeds of bribery, corruption, or other illicit activity. This includes the potential misuse of banking channels by organised crime groups to disguise and move funds. Approximately **40%** of PEPs (by residency) within the Banking sector originate from higher-risk jurisdictions. (See **9.4**, and **Appendix II** for details.) The use of complex corporate structures can further increase these vulnerabilities, making it more difficult to identify the true source or ownership of funds. Banks should also exercise caution in relying too heavily on professional enablers or introducers. Weaknesses elsewhere in the financial system can be exploited by criminals to legitimise their activities – such as securing a bank account through intermediaries – which can then be used to launder illicit funds before any suspicion is raised.	**Increasing threat – e.g. organised crime** **Stable vulnerability**
8.6.4 Technology risk, including artificial intelligence (AI) and/or AML/CFT/CPF system failures	**Threat/Vulnerability Level**
Supervision has noted that banks continue to have potential gaps (control vulnerabilities) in prevention and detection of money laundering (transactions, screening, changes in customer profile and behaviour), balancing manual intervention and reviews with the use of technology. The pace of change in digital systems and ID is also a threat, as is the threat from bad actors gaining access to systems (ID theft, ransoms).	**No material change in threat or vulnerability**
8.6.5 Weaknesses in internal frameworks/controls	**Threat/Vulnerability Level**
Supervision has identified that banks remain vulnerable to potential weaknesses in their ongoing monitoring systems, including failure to identify changes to client profiles and transaction patterns, and gaps in customer risk assessments. Managing account blocks and freezing suspected criminal proceeds is a growing operational challenge. This risk has been particularly evident in cases linked to iGaming, though banks also face increasing freezing activity related to fraud, cybercrime, and other predicate offences.	**Increasing threat and vulnerability of being exposed to releasing suspected proceeds of crime (if system control vulnerabilities exist)**

10 A weakness or gap in defence mechanisms against ML/TF. The Banking Sector Module is designed to help assess these vulnerabilities (inherent or control).
11 Refers to the proceeds of crime in a country including proceeds generated in the country (internal) and proceeds that come from other countries (external). For this purpose, excludes TF and PF
12 In today's digital age, wealth is increasingly generated through unconventional channels such as influencers and gamers, who can amass significant fortunes rapidly through social media platforms and online gaming. This new wealth paradigm challenges traditional documentation methods, which often rely on established financial records and investment portfolios.

8.6.6 Personal and commercial retail business – use of cash	Threat/Vulnerability Level
Although the use of cash is thought to be reducing, banks still accept cash and therefore remain vulnerable to its continued use, with the main ML threat being the laundering of proceeds of crime from the local drugs trade (and possible local tax evasion from, for example, sole traders). See Chief Constable's Annual Report 2024–25. *"Regular seizures of illicit drugs inbound and cash outbound bear witness to the scale of the criminal exploitation of the Island for illicit commodities and associated money laundering activities."*	**No material change in threat or vulnerability**

8.7 In addition to the above, the Banking Working Group identified other areas of wider vulnerability or threat within the sector that are not limited to AML/CFT/CPF but nevertheless can result in vulnerabilities emerging, including people risk (inadequate resources/skills could result in illegitimate or criminal transactions not being picked up and investigated, and resulting in the bank being used as part of the money laundering process) and cybersecurity. ■

"the Banking Working Group identified other areas of wider vulnerability or threat within the sector that are not limited to AML/CFT/CPF but nevertheless can result in vulnerabilities emerging."



CHAPTER 9

ML Sector Threat

9.1 The overall ML threat to banks has been assessed as being **medium-high,** consistent with the overarching national threat assessment, noting that there is a **medium** domestic threat, but a **medium-high** international (cross-border) threat.

9.2 The ML threats to the Banking sector derive from persons/entities who wish to abuse the system to launder the proceeds of crime. In the IOM, it is generally considered that the ML threats are greater than the TF threat, and this is evidenced from SAR reporting by banks, and from requests to banks from law enforcement. The TF NRA reports that the number of TF-related SARs submitted by banks was extremely low and that the banks had no recent enquiries referred to them of potential TF from the authorities. There was only 1 internal TF disclosure in 2022 and 1 in 2023, compared to 9 internal sanctions disclosures in 2023 and over 1,000 internal money laundering disclosures for the same period.

9.3 CORE THREATS

9.3.1 As an IFC, the IOM's Banking sector primarily serves non-resident clients. This cross-border profile means that funds often originate outside the jurisdiction, and related predicate offences typically occur overseas. This increases the risk of foreign criminal proceeds entering the domestic banking system, with detection and verification made more difficult by geographic and legal distance.

9.3.2 The IOM's broad range of financial services and competitive tax regime, like those of other IFCs, may be exposed to misuse by individuals seeking to conceal the proceeds of crime, due to the international and often non-face-to-face nature of its business, along with the complexity and speed of transactions and availability of specialised professional services.

9.3.3 The exception is drug trafficking and supply, where the use of IOM banknotes paid into third-party accounts and subsequently transferred to the UK remains a common laundering method. While this typology has persisted over time, there is no clear evidence of a significant increase in threats to the Banking sector from this activity in recent years.

9.3.4 The IOM's primary ML threat, however, continues to be the use of the financial system for the placement and layering of funds from predicate offences committed overseas. Financial flows often involve rapid cross-border transactions and the misuse of third-party accounts, both individual and corporate.

9.3.5 While these activities may originate outside the IOM, they can still pose a risk to IOM banks – particularly where funds are routed through a variety of overseas routes, including non-banking channels, before entering the domestic banking system. Such accounts are frequently exploited by foreign criminal networks and professional money laundering operations to disguise illicit funds as legitimate business activity. In some cases, proceeds are withdrawn in cash or transferred internationally via money service businesses, complicating detection and recovery efforts.

9.3.6 The increase in the variety of non-banking channels outside the Island available to IOM-based individuals or businesses to transmit money – e.g. payment service providers (including transacting via virtual assets), and overseas challenger banks – all create a wider risk. However, domestically, established international and UK high street banks continue to be central to the IOM's international financial services offering. ›

9.3.7 Where predicate offences occur outside the IOM but the criminal proceeds may flow through or be connected to the IOM banking system, the core threats (in order of prevalence) arise from the following:

- fraud (including fraud against customers of IOM banks; e.g. APP fraud);
- tax and excise evasion (or aggressive avoidance);
- drug-related (including organised crime);
- other organised crime activity;
- bribery and corruption (including pertaining to foreign PEPs)

9.3.8 The most reported international predicate crime suspicions by banks in the IOM, where a country for suspected criminality is identified, is fraud and tax crimes. Data in respect of predicate crime suspicions is covered in **Section 9.7** below.

9.3.9 The reporting of fraud-related SARs particularly increased in 2023 and 2024. This is consistent with the general trend in vulnerability and threat facing the Banking sector as referenced in **Figure 3.** Fraud SARs were received relating to both domestic and international predicate offending; this is partially due to the victim accounts often being held on the IOM whilst the perpetrators of the fraud may be located off Island. Fraud SARs can vary from APP-related to more complex multi-jurisdictional fraud linked to OCGs.

9.3.10 The availability of international banking services, tax structuring, and company and trust formation in the IOM can be attractive to individuals and businesses seeking to evade taxes in their own jurisdictions. The IOM has a comprehensive framework of international agreements that provide for greater tax transparency through the exchange of information.

9.4 DEVELOPING AND EVOLVING THREATS

9.4.1 There has been an increase in the number of active international money laundering cases under investigation, with 10 during 2024–25. The PIMLIT, supported by the wider IOM Constabulary (IOMC), has conducted three major multi-agency operations this year, with assistance from other Isle of Man agencies. The cases are complex, with multi-jurisdictional structuring (including shell companies) and a range of financial products used to hide criminal proceeds. There has been a notable increase in the use of virtual assets, in particular USDT (cryptocurrency), to move illicit funds as part of the laundering process.

9.4.2 The Island is facing challenges from Asian organised crime. The Island's economic growth in other sectors, as OCGs also seek to grow, has created risks to which the Banking sector has been exposed. Organised immigration crime (including human trafficking) and transnational organised crime centred on sophisticated large-scale, cyber-enabled fraud and integration of funds associated with online gambling, predominantly Asian-facing, are providing new challenges. The increased level of reporting from banks concerning fraud and organised crime reflects the growing global trend identified in several international reports, including a report by the United Nations Office on Drugs and Crime (UNODC) in April 2025,[13] which highlights actions taken in the IOM targeting an online gaming company in connection with a fraud and money laundering investigation.

9.4.3 The publication in May 2025 by Government of the "National Statement on eGaming and Financial Crime: Activities, Risk Appetite and Mitigation" outlines the key risks, concerns, and red flags associated with online gambling and their potential relevance across several sectors, including Banking. The Statement clarifies the national risk appetite for online gambling and identifies considerations for any other business sectors that ›

13 Inflection_Point_2025.pdf

may be exposed to activity linked to online gambling. A broader National Risk Appetite Statement covering financial crime across all sectors is expected following publication of the NRA. While most IOM-based retail banks do not directly service online gambling businesses, some institutions do have exposure to sectors or intermediaries with links to the industry.

9.4.4 Most banks maintain relationships with higher-risk clients, including commercially and politically exposed persons from high-risk jurisdictions. This elevates the risk of exposure to proceeds of bribery and corruption. Although this threat is longstanding, the combination of fast-evolving markets and increasingly sophisticated criminal typologies creates enhanced opportunities to move and obscure illicit funds. **Figure 4** provides summary information of the sector's PEPs exposure.

9.4.5 Reports, including a 2024 publication by the University of Sussex, have highlighted a shift in the geography of illicit financial flows. Historically concentrated in well-known high-risk centres associated with drug trafficking, corruption, fraud, and sanctions evasion, activity is now increasingly routed through new markets. The report specifically notes the emergence of a "Dubai-Hong Kong axis" as a channel for the movement of illicit funds, with implications for global banking exposure. Further information on cross-border flows is provided in section 9.5; although neither the United Arab Emirates (UAE) nor Hong Kong, China, appear in the top 10 list (refer to **Figure 5**), both countries were in the top 20. There was no material movement in the trend to/from these countries between 2021 and 2024.

9.4.6 The threats that OCGs based in the UK with international links present to the Island is evolving; the significant increase in the volume of drugs being smuggled into the Isle of Man – cocaine, cannabis, and more recently ketamine – is reflective of the higher street prices available, the value of which needs to be realised. While there is an increasing use of non-banking channels and purchase of high-value goods, bank accounts are also being used; in particular, the authorities have observed the exploitation of vulnerable people, using mule accounts to move the proceeds of drug sales. ›

Figure 4: PEP exposure

Unique PEPs	2022	2023	2024
Total unique PEPs reported by residency	2,775	2,480	2,870
% of which are classified as foreign PEPs	85%	87%	89%
Total unique PEPs resident in higher-risk countries as a percentage of total PEPs (see Appendix II)	35.4%	41.6%	41.4%
Total unique PEPs who are nationals of higher-risk countries as a percentage of total PEPs (see appendix II)	35.6%	42.1%	38.9%
Unique PEPs as a proportion of total customers	0.6%	0.5%	0.6%

Source: FSA annual AML/CFT return

9.5 CROSS BORDER FLOWS RELATING TO THE BANKING SECTOR, 2021–2024

9.5.1 All banks supply the FSA with quarterly transactional data of inflows and outflows (including within the IOM). The data shows that the largest inflow into the IOM is from the UK, averaging **52.2%** across the four years (2021 to 2024), and the largest outflow is also to the UK, averaging **50.5%** over the same period. This is in line with expectations given the IOM and UK's close geographical and constitutional ties.

9.5.2 **85%** of all outgoing payments and **88%** of incoming payments are to/from the top 10 countries, and South Africa is the only '**List A** or **B**' jurisdiction[14] in the top 10 (and represents less than **2%** of total inflows and outflows). **3.8%** of all outgoing payments and **2.8%** of incoming payments are to/from jurisdictions that may pose a higher risk, with South Africa accounting for approximately **45%** of these. Other countries consistently prevalent in the top 5 of higher-risk jurisdictions for both inward and outward flows include Kenya and Zimbabwe. ›

Figure 5: Top 10 inflows and outflows by country 2021–2024

Country	Inflow (% of total inflows)	Outflow (% of total outflows)
UK	52.2%	50.5%
USA	13.5%	12.3%
Germany	6.7%	7.2%
Isle of Man	4.7%	4.8%
Jersey	3.2%	2.9%
Switzerland	1.9%	3.3%
South Africa	1.2%	1.7%
France	1.9%	0.5%
Luxembourg	1.3%	0.9%
Republic of Ireland	1.3%	0.9%
TOTAL TOP 10	**87.9%**	**85.0%**

Source: FSA quarterly financial flow return

14 As per the Isle of Man country lists, see Appendix II

9.5.3 Of the 11 banks that report data, nearly **90%** of total sector inflows and outflows are concentrated in only 5 banks, of which 4 are part of UK groups. Further, in respect of higher-risk jurisdictions, nearly **80%** of inflows and **70%** of outflows from/to those countries are concentrated in only 2 banks.

9.5.4 The FSA has visibility of the underlying banks involved in each payment and is working with the FIU to formalise a review process for transactions linked to higher-risk jurisdictions. This process will incorporate relevant intelligence held by the FIU. The FSA will then engage with the respective banks to discuss payments, jurisdictions, and emerging trends of interest, ensuring a shared understanding of potential threats.

9.6 BANKING CUSTOMER BASE

9.6.1 The number of customers reported by banks over the past three years has been between 450,000 and 470,000. At the end of 2024, approximately **94%** of customers (by number) in the Banking sector are natural persons. Further information on the customer base as reported by banks annually via the AML/CFT returns is provided in **Figures 6** to **8** below. Information about PEP exposures is shown in Figure 4 above. The data is for 2022 to 2024 and includes:

- top 10 as a **%** of overall — which is designed to show the concentration of country risk at customer level;
- higher-risk countries (**Lists A** and **B**) — which shows the direct customer exposure to jurisdictions that may pose a higher risk;
- proportion of banks' customer books that they rate as posing a higher risk. ›

Figure 6a: Top 10 Exposure to Country Risk (residency of all customers) 2022–2024

Country	2022	2023	2024
Isle of Man	37.8%	37.3%	34.8%
United Kingdom[15]	20.1%	20.3%	26.8%
South Africa	10.6%	12.1%	10.8%
USA	3.4%	3.0%	2.7%
UAE	2,2%	2.2%	1.9%
Australia	2,0%	2.0%	1.8%
Hong Kong, China	1.7%	2.0%	1.4%
Spain	1.5%	1.3%	1.2%
France	1,3%	1.1%	1.0%
Canada	1,2%	1.1%	1.0%
TOTAL	**81.8%**	**82.4%**	**83.4%**

Source: FSA annual AML/CFT return

15 The increase in UK customers in 2024 (primarily natural persons) is driven by a change in reporting by one bank.

Figure 6b: Top 10 Exposure to Country Risk (residency of natural persons) 2022–2024

Country	2022	2023	2024
Isle of Man	34.5%	34.6%	34.8%
United Kingdom	21,1%	20.9%	26.8%
South Africa	11,4%	12.9%	10.8%
USA	3.7%	3.2%	2.7%
UAE	2.4%	2.3%	1.9%
Australia	2.2%	2.1%	1.8%
Hong Kong, China	1.8%	2.1%	1.4%
Spain	1..6%	1.4%	1.2%
France	1.4%	1.2%	1.0%
Canada	1.3%	1.2%	1.0%
TOTAL	**81.4%**	**81.9%**	**83.3%**

Source: FSA annual AML/CFT return

Figure 6c: Top 10 Exposure to Country Risk (residency of non-natural persons[16]) 2022–2024

Country	2022	2023	2024
Isle of Man	76.5%	73.6%	76.5%
United Kingdom	9.5%	11.7%	9.1%
British Virgin Islands (BVI)	2.9%	3.1%	3.2%
Guernsey	1.2%	1.4%	1.3%
Jersey	1.3%	1.2%	1.0%
Cayman Islands	0.8%	0.8%	1.0%
South Africa	0.8%	1.2%	0.8%
Malta	0.8%	0.8%	0.7%
Gibraltar	n/a	0.5%	0.5%
Cyprus	n/a	n/a	0.5%
Republic of Ireland	0.7%	0.7%	n/a
Mauritius	0.6%	n/a	n/a
TOTAL	**95.1**	**95.0%**	**94.6%**

16 This is the residency of the country of incorporation / establishment of the company / trust etc.

Source: FSA annual AML/CFT return

Figure 7: Country Risk Exposure to Higher Risk Countries – residency of bank customers, 2022–2024

High-risk countries – List A and List B	2022	2023	2024
All customers — as a percentage of total customers	14.1%	15.7%	14.2%
Natural persons — as a percentage of total natural persons	14.9%	16.5%	14.7%
Non-natural persons — as a percentage of total non-natural persons	3.9%	4.7%	4.5%

Source: FSA annual AML/CFT return

Figure 8: Customers Rated as Higher Risk by Banks 2022–2024

Higher-risk customers	2022	2023	2024
% of all customers reported as posing a higher risk	3.6%	6.1%	5.2%
% of new customers onboarded in the year reported as posing a higher risk	5.0%	6.0%	2.8%

Source: FSA annual AML/CFT return

9.6.2 **Figures 6** and **7** show that there is a high concentration to three core countries: IOM, UK, and South Africa. Around **15%** of the sector's customers reside in higher-risk jurisdictions, noting this is somewhat dominated by South Africa-based customers, which make up nearly **11%** of all customers by residency. The next largest higher-risk countries are Zimbabwe, Kenya, and Nigeria. The profile of customers is in line with expectations given the presence of African-based banks within the sector. The percentage for non-natural persons in **Figure 7** is mainly driven by the BVI incorporations, most of which will be customers introduced through TCSPs.

9.7 SUSPICIOUS ACTIVITY REPORTS

9.7.1 SARs made by the Banking sector have steadily increased over recent years with the highest being in 2024 – almost **37%** of the total SAR (submitted under the Proceeds of Crime Act 2008 (POCA) only) submissions. A high proportion of the SARs submitted by the sector contain actionable intelligence, with a majority of those received resulting in the FIU making disseminations either locally or internationally. ›

Figure 9: Total banking SARs 2020–2024



NB: In Figure 9, SARs submitted under the category "Other (Section 18 Responses etc)" is zero for both 2020 and 2024. This is due to Themis process changes implemented in 2021 to bring S18 responses into Themis as a separate disclosure, then refinements made in 2023 to streamline this to bring them into the records from which they were made and improve accuracy of SAR statistics.

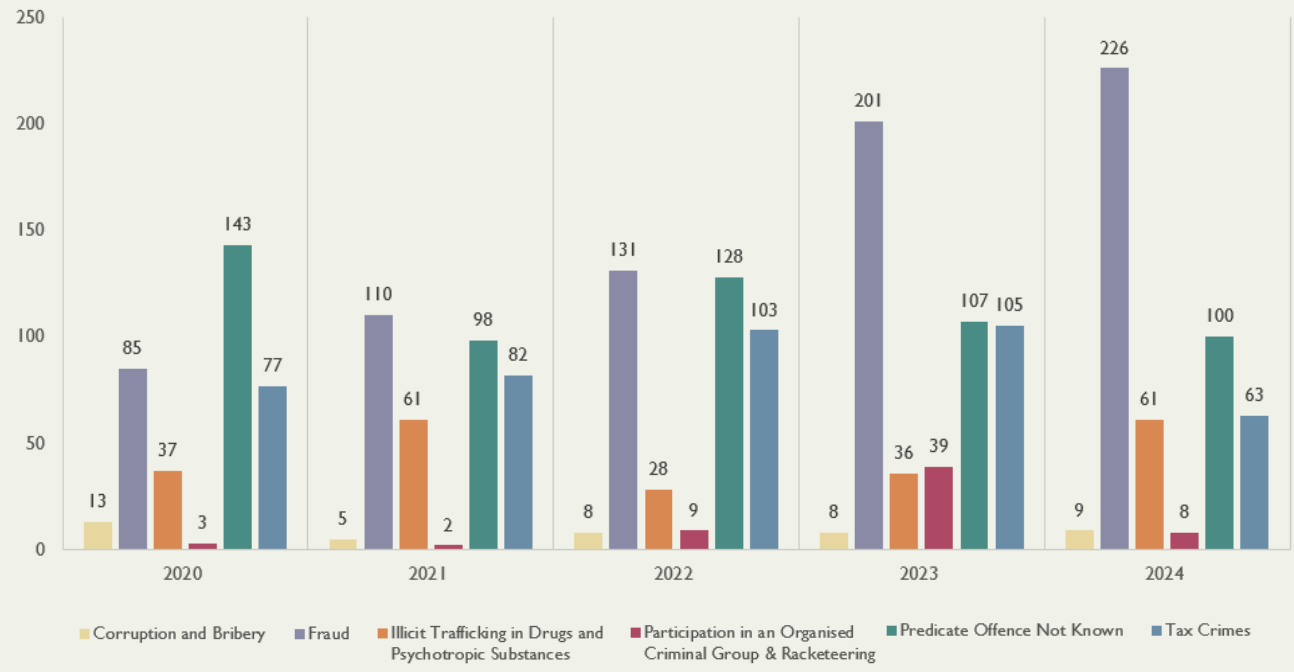
Source: FIU

9.7.2 It is noted that during 2023, there has been a slight increase in POCA SARs — some of which is linked to ongoing criminal investigations led by law enforcement agencies, particularly in cases where the grounds of suspicion were derived from a number of advisory notices to support these investigations. The increase in SARs related to organised crime in 2023 aligns with the findings of the national cross-border threat assessment in relation to Asian-facing risks.

9.7.3 Reports under POCA (including dual reporting[17]) and **Section 24** have been steadily increasing over the period, most notably pertaining to fraud, which has almost tripled since 2020. The increase in fraud-related reporting is consistent with the general trends observed in that area by the FSA in relation to its prudential and conduct supervision of banks. Banks have consistently been the second-largest reporter after the iGaming sector; however, many of the reports by the latter constitute dual reports to the IOM as well as other jurisdictions. There has been one case reported in 2020 under the Anti-Terrorism and Crime Act 2003 (excluded from the figure below). ›

17 Dual reporting refers to where a SAR is made in more than one jurisdiction.

Figure 10: Top 5 Suspected Predicate Criminality 2020–24



See footnote re Predicate Offence not Known[18]

Source: FIU

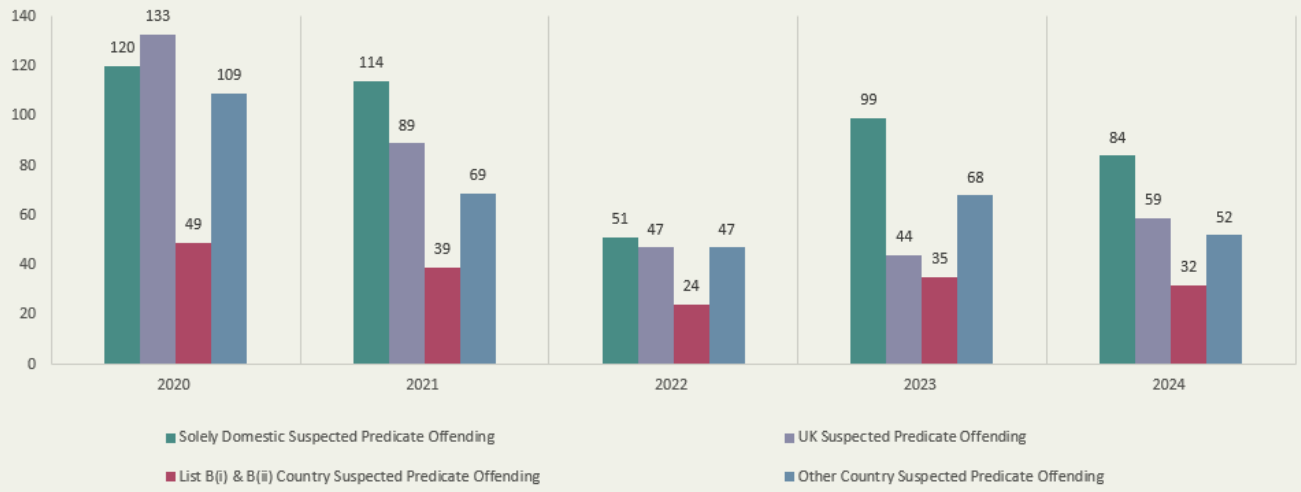
9.7.4 While the sector demonstrates strong compliance with regulatory requirements, residual risks remain where exposure to high-risk countries is not sufficiently offset by the application of robust controls. There is a need for continual sector-wide vigilance, particularly considering evolving geopolitical dynamics and changes to the Financial Action Task Force (FATF) grey and blacklists.

9.7.5 **Figure 11** below highlights the international exposure for POCA SARs for which countries where the suspected predicate criminality occurred is known. Whilst **37%** of SARs (where countries for suspected criminality are provided) suspected solely domestic offending, the majority suspected some or entirely international offending. A similar pattern is evident in SARs concerning the location of the primary SAR subject.

9.7.6 In terms of the most frequently reported criminalities from the sector, SARs relating to drug trafficking were generally domestic in nature, whereas SARs relating to tax crimes and organised criminal activity were more international. Fraud SARs were received relating to both domestic and international predicate offending; this is partially due to the victim accounts often being held on the Isle of Man, whilst the perpetrators of the fraud may be located off-Island. This distribution aligns with the risk profile associated with the IOM's status as an IFC. Suspected criminality occurring outside the Isle of Man largely relates to fraud and tax crimes (UK and **List B** countries) as well as Bribery and Corruption (**List B** Countries). ›

18 "Predicate Offence not Known". This is used where the reporter believed activity to be suspicious and indicative of Money Laundering but has not been able to identify the underlying predicate criminality type.

Figure 11: International Exposures 2020–24

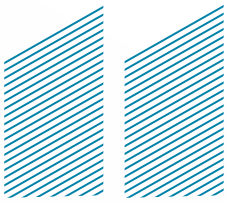


NB: Figure 11 includes only those SARs where the country associated with the suspected criminal activity is known and has been specified by the Money Laundering Reporting Officer (MLRO). More than one country can be specified in this field.

Source: FIU

9.7.7 Between 2020 and 2024, the United Kingdom accounted for **49.2%** (31) of the incoming Mutual Legal Assistance (MLA) requests in relation to the banking sector. Europe recorded its highest number in 2023, at **47.6%**, (10). These figures underline the UK's dominant position in MLA requests. The Isle of Man is frequently used for company incorporations, trusts, and tax planning structures, some of which are routed through UK.

9.7.8 From 2020 to 2024, the total number of incoming tax-related requests related to banking have been relatively steady throughout the period, varying from 19 in 2020 to 34 in 2024, with the majority coming from Europe, which includes the UK. ›



The Isle of Man is frequently used for company incorporations, trusts, and tax planning structures, some of which are routed through UK."

CHAPTER 10

ML Sector Vulnerability

10.1 OVERALL VULNERABILITY

10.1.2 The overall sector ML Vulnerability has been assessed as **medium (0.55)** which reflects some inherent vulnerabilities prevalent in the products and services identified below, partly mitigated by a **medium-high** quality AML control framework **(0.77).** Appendix IV provides a Vulnerability Map for the banking sector.

10.1.3 A summary of the main inherent and control vulnerabilities (in no particular order), together with example threats, is shown in section 8.6 of this report, which brings together the results of the assessment performed using the World Bank methodology in **sections 10.2** and **10.3** below, overlaid with sectoral discussions.

10.1.4 The main vulnerability factors are:

- International nature of business (customer and delivery) (inherent vulnerability)
- Provision of fast transactional services (inherent vulnerability)
- Provision of services to foreign PEPs and other higher risk customers / sectors (inherent vulnerability)
- Use / acceptance of cash (inherent vulnerability)
- Robustness of systems and technology (control vulnerability)
- Internal monitoring and account block controls (control vulnerability)

10.2 INHERENT VULNERABILITY ASSESSMENT

10.2.1 As part of the vulnerability assessment, an analysis of risk factors (as set out in the WB module for banking) pertaining to an agreed set of products / services was undertaken. The inherent and final vulnerability for each product / service segment, based on criteria in the WB module, is shown in the figure below. ›

Figure 12: Vulnerabilities Assessment by Product/Service

Product/Service		Inherent vulnerability		Final vulnerability	
		Score	Rating	Score	Rating
Retail & Private Banking (individuals)	Domestic Deposit Services	0.43	Medium	0.35	Medium Low
	Domestic Credit Services	0.13	Low	0.13	Low
	International Deposit Services	0.81	High	0.57	Medium
	International Credit Services	0.32	Medium Low	0.28	Medium Low
Corporate, Commercial & Institutional Banking	Charities and NPOs – Domestic	0.24	Medium Low	0.23	Medium Low
	Charities & NPOs – Foreign	0.50	Medium	0.39	Medium Low
	Business Corporate & Trust Domestic Business	0.51	Medium	0.40	Medium Low
	Business Corporate & Trust TCSP Managed	0.71	Medium High	0.52	Medium
	Business Corporate & Trust Other	0.71	Medium High	0.52	Medium
	Institutional	0.72	Medium High	0.52	Medium

Source: WB module assessment

10.2.2 The inherent vulnerability score is based on a range of factors used in the module (for example size, client profile, cash activity, investment features, cross border aspects, delivery of services, and typologies – see Appendix III), whereas the final vulnerability score considers the quality of AML controls as set out in **section 10.3** (and any specific product related AML controls). For prudency in the module, no product specific AML controls were included.

10.2.3 In summary, from an ML perspective, the most vulnerable product/service segments (which also considers their estimated size) are shown in **figure 13** below.

10.2.4 Further information explaining the assessment and ratings is provided below.

Figure 13: Overall Vulnerability

Product/Service Segment	Inherent vulnerability	Final vulnerability
Retail & Private Banking — International deposit services	0.81 (High)	0.57 (Medium)
Business, Corporate & Trust (TCSP managed and Other)	0.71 (Medium High)	0.52 (Medium)
Institutional	0.72 (Medium High)	0.52 (Medium)

Source: WB module assessment

RETAIL & PRIVATE BANKING (INDIVIDUALS)

IOM banks provide a range of retail banking services to domestic residents, coupled with some products and services designed to serve customers of a higher net worth. Some banks also offer a range of retail and private banking type services to internationally-based customers, including British expatriates, UK resident non-domiciled individuals, and other non-resident individuals. Private banking customers will engage with banks' services and products through dedicated bank contacts.

DOMESTIC DEPOSITS & DOMESTIC CREDIT SERVICES

The core products and services offered to Island-resident individuals include current accounts, notice and fixed term accounts, other savings and investments, payment and FX services, residential mortgages, secured and unsecured loans, and overdrafts.

These products and services provide the ability for local resident individuals to make quick and efficient transactions (including to/from the UK via the faster payment system), deposit higher-value sums, and pay in and withdraw cash into their accounts. These are all features of higher inherent vulnerability, albeit they are no different from the inherent vulnerabilities embedded in domestic retail banking more generally.

Mitigants

These core vulnerabilities are somewhat mitigated by the systems and controls that banks have in place to monitor unusual activity (including any international transactions which would be less frequent for this customer cohort), the fact more of the local business will be conducted face-to-face (compared to other parts of the banking business model), and controls over cash in/out over the counter and through automated tellers. ›

The inherent vulnerability for domestic deposit products and services is assessed as **medium,** with the final vulnerability (after control mitigation) as **medium-low.**

By their nature, credit services are either lower-value (personal loans) or longer-term products (mortgages), less transactional, and not cash-based, reducing vulnerabilities, with a resulting inherent (and final) vulnerability assessed as **low.**

INTERNATIONAL DEPOSIT & CREDIT SERVICES

The core products and services offered to non-resident individuals include current accounts, notice and fixed-term accounts, other savings and investments, payment and FX services, mortgages (including some "buy to let"), secured and unsecured loans, and overdrafts.

In addition to the inherent features outlined for domestic services (noting cash activity will be less of a feature), further vulnerabilities are prevalent due to the greater prominence of non-face-to-face business or use of third parties, higher levels of international transactions, and some foreign PEP or high-net-worth business (and corresponding inherent challenges to establish source of wealth). The international personal deposit book in the Isle of Man is also the largest segment by value.

Mitigants

To mitigate the vulnerabilities, and thereby reduce ML threats, banks generally have strong customer take on procedures, robust ongoing monitoring (customer and transaction monitoring and screening), are sufficiently resourced, and continue to invest in systems and controls. Private banking customers will also have dedicated relationship contacts, which can help in the wider understanding of activity and transactions (in addition to automated monitoring tools).

The inherent vulnerability for international deposit products and services is assessed as **high,** with the final vulnerability (after control mitigation) as **medium.** By their nature, credit services are either lower-value (personal loans) or longer-term products (mortgages), less transactional, and not cash-based, reducing vulnerabilities, with a resulting inherent (and final) vulnerability assessed as **medium-low.**

CORPORATE, COMMERCIAL & INSTITUTIONAL BANKING

IOM banks provide a range of banking services to:

- charities and clubs/associations;
- domestic-focused businesses;
- corporate and trust vehicles managed/administered by registered TCSPs;
- internationally-focused corporations (for example, providing banking services as part of wider group connections); and
- banks, the government, and other financial institutions (institutional business).

CHARITIES AND NPOS[19] – DOMESTIC AND FOREIGN

The core banking sector products and services offered to charities and non-profit organisations (NPOs) include current accounts, notice and fixed-term accounts, other savings accounts, payment, and FX services.

The charity and NPO customer book is of relatively low value and has low customer numbers. The domestic charities (including local clubs and associations) will be registered in the Island and controlled through local trustees and signatories. Some vulnerabilities exist in relation to the use of cash or perhaps connections to local PEPs, but banks report domestic charities as not posing a **higher risk.**

Mitigants

Banks have encouraged charities to move away from cash (including through their charging structures), reducing that risk. The main vulnerabilities can occur if a domestic charity is making international transactions (for example, any that are registered as SNPOs), but these numbers are very low. ›

19 See also the TF NPO risk assessment and the relevant sections of the ML NRA dealing with NPOs.

The inherent (and final) vulnerability for ML relating to domestic charity deposit products and services is assessed as **medium-low.** Foreign charities pose more inherent vulnerability – for example, via international transactions or connections to a foreign PEP. However, these are very small numbers, and a material portion of business is in the form of fixed-term deposits rather than operational accounts. The inherent vulnerability for foreign charity deposit products and services is assessed as **medium,** with the final vulnerability (after control mitigation) as **medium-low.**

BUSINESS, CORPORATE AND TRUST

The core products and services for business, corporate & trust customers (domestic, TCSP-managed, and international-focused) include current accounts, notice and fixed-term accounts, other savings accounts, payment and FX services, treasury management services, secured lending services, and credit facilities.

Domestic businesses

These products and services enable local businesses to make quick and efficient transactions (including to/from the UK via the faster payment system), access credit facilities, and pay cash into their accounts. Cash-generative businesses can pose a higher vulnerability to the banking sector. These are all features of higher inherent vulnerability but are no different from the inherent vulnerabilities in domestic business banking generally.

Mitigants

Core vulnerabilities are somewhat mitigated by the systems and controls that banks have in place to monitor unusual activity (including any international transactions which would be less frequent for this customer cohort), the fact more of the local business (compared to other corporate business) will be conducted face-to-face (and have a physical presence on the Island), and ownership structures are normally not complex. Banks also have controls over cash in over the counter and automated tellers.

The inherent vulnerability for domestic business banking products and services is assessed as **medium**, with the final vulnerability (after control mitigation) as **medium-low.**

TCSP-managed and other international corporate/trust business

In addition to the same inherent features as outlined for domestic businesses (noting cash activity will be less of a feature), further vulnerabilities are prevalent due to the greater prominence of:

- non-face-to-face business and/or use of third parties/ introducers;
- higher levels of international transactions (transaction size and frequency);
- complex ownership structures, including clients introduced, and managed, by TCSPs;
- potential for foreign PEP connections (and corresponding challenges to establish source of wealth)

These entities will also often have no physical presence in the Island outside of being managed by a TCSP; therefore, it is more challenging for banks to understand business models and transaction rationale. These factors can lead to higher-risk customers being increasingly prevalent within the sector.

Mitigants

To mitigate the vulnerabilities, and thus reduce the ML threats, banks generally have strong customer take on procedures including risk assessment, robust ongoing monitoring (customer and transaction monitoring and screening), are sufficiently resourced, and continue to invest in systems and controls. Banks will also have their own risk appetite for certain industry or country exposures. TCSPs are also subject to AML/CFT/CPF requirements in the Island, which provides some mitigation for that segment of business.

The inherent vulnerability for both TCSP-managed and other international corporate/trust banking products and services is assessed as **medium-high,** with the final vulnerability (after control mitigation) as **medium.** ›

INSTITUTIONAL

Products and services for institutional customers (Banks, Government, Financial Institutions) can include correspondent services (although no bank correspondent services are currently provided), wholesale banking deposit services, treasury management services, payment and FX services, secured lending services, and credit facilities.

This customer segment is relatively large by value, which naturally increases the inherent vulnerability; transactions will be frequent and sometimes of larger value. A further vulnerability is that some arrangements will operate on a pooled account basis.

Mitigants

In addition to banks' own control environment, a core inherent mitigant is that these customers will often be highly regulated (subject to jurisdictional requirements) and operate AML/CFT/CPF controls. Banks are also required to understand if their customer (the financial institution) is acting on behalf of other persons, and if so, take steps to mitigate that risk (which can include pooled account arrangements).

The inherent vulnerability for institutional banking products and services is assessed as **medium-high,** with the final vulnerability (after control mitigation) as **medium.**

10.3 AML CONTROLS ASSESSMENT

10.3.1 The assessment indicated that there continue to be no general AML control areas that require critical or urgent attention across the sector. A summary of the AML control scores and ratings is shown in **figure 14** below. See also the vulnerability map at **Appendix III. ›**

Figure 14: summary of controls assessment

		Score	Rating
1	Comprehensiveness of the AML Legal Framework	0.8	Very High
2	Effectiveness of Supervision Procedures and Practices	0.8	Very High
3	Availability and Enforcement of Administrative Sanctions	0.8	Very High
4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High
5	Availability and Effectiveness of Entry Controls	0.8	Very High
6	Integrity of Banks' Staff	0.8	Very High
7	AML Knowledge of Banks' Staff	0.8	Very High
8	Effectiveness of Compliance Function	0.8	Very High
9	Effectiveness of Suspicious Activity Monitoring and Reporting	0.8	Very High
10	Level of Market Pressure to Meet AML Standards	0.8	Very High
11	Availability and Access to Beneficial Ownership Information	0.7	High
12	Availability of Reliable Identification Infrastructure	0.7	High
13	Availability of Independent Information Sources	0.7	High

Source: WB module assessment

Figure 15: commentary

Comprehensiveness of the AML Legal Framework	0.8	Very High

A comprehensive legal framework and updated sector-specific guidance from the FSA and FIU are in place. The fully regulated banking sector is supervised by the FSA for AML/CFT/CPF and prudential matters. Since the 2016 MONEYVAL assessment, the legislative and policy environment has remained stable. Most IOM banks belong to larger groups that must meet standards set by multiple jurisdictions, which may differ from local requirements. There is effective cooperation and ongoing dialogue between the banking sector and IOM authorities.

Effectiveness of Supervision Procedures & Practices	0.8	Very High

The FSA is responsible for consumer protection, reducing financial crime, and maintaining sector confidence through regulation. Its inspection and supervisory methods are publicly available and guided by internal policies and governance frameworks.

Over the past seven years, the FSA has gathered AML/CFT annual returns and financial flow data from banks. This data contributes to a risk-based supervision approach and sector reports that are made available on the FSA website. The use of technology solutions has facilitated risk analysis and the production of sectoral and entity-specific risk heat maps. Since 2023, the FSA has expanded its technical and human resources for AML/CFT/CPF policy work and inspections, with ongoing training for staff to support inspection processes.

By analysing sector reports and AML/CFT returns, the FSA identifies Banking sector risks and uses these insights to guide supervisory planning and resource allocation.

The FSA consults with banks' internal audit and compliance teams and the Isle of Man Bankers' Association, supporting anti-financial crime initiatives through ongoing partnership, consultation, and participation in initiatives led by the Isle of Man Financial Crime Partnership.

> "The FSA is responsible for consumer protection, reducing financial crime, and maintaining sector confidence through regulation."

Availability and Enforcement of Administrative Sanctions	0.8	Very High

A comprehensive range of regulatory measures (enforcement and supervision) is available, including civil penalties, public statements, action against individuals (e.g. prohibition), directing firms to take action (including remediation), and utilising third party reporting professionals, as well as measures like licence suspension or revocation. Key regulations introduced in 2015 and 2019 have enabled the use of administrative actions and financial penalties to address breaches in the financial sector.
Decisions on discretionary civil penalties follow established internal governance procedures, including the published Enforcement Decision-Making Process. The FSA has published a Guidance Note explaining the discretionary civil penalty framework.

When a sanction is imposed, the relevant entity must implement a remediation plan, which will be subject to monitoring and verification as necessary. There are publicly available examples demonstrating the application of civil penalties, highlighting enforcement actions taken against financial institutions including banks and DNFBPs. These are accompanied by public statements regarding the contraventions involved. Since 2020, four civil penalties have been issued against four banks, amounting to £2,978,251 (£2,084,776 after discounts reflecting agreed settlements and remediations). Public statements have been released in relation to each case.

According to an Island Global Research survey of industry participants, **91%** of respondents indicated they were aware or very aware of these enforcement actions, illustrating the effectiveness of such measures as a deterrent.

Availability and Enforcement of Criminal Sanctions	0.6	Medium High

A comprehensive range of criminal sanctions is available. Individuals who contravene the Code are guilty of an offence, with the courts empowered to impose both custodial and financial penalties at levels intended to serve as a suitable deterrent. Offences under POCA include failure to report a suspicion as well as "tipping-off."

The framework governing criminal sanctions is robust and thorough. Currently, there have been no instances of criminal sanctions applied within the Banking sector; accordingly, this control has been assessed as **Medium High** rather than **Very High.** This rating reflects the generally high levels of compliance observed in the sector and the effectiveness of the civil penalties regime which have so far negated the need for criminal sanctions.

> "The framework governing criminal sanctions is robust and thorough."

Availability and Effectiveness of Entry Controls	0.8	Very High

Entry requirements for the Banking sector are very high. The FSA's Licensing Policy outlines the specific criteria that applicants must meet to obtain and retain a financial services licence for deposit taking.

Authorisation decisions are made by the CEO or Head of Division of the FSA, with input from relevant senior managers and divisions as needed.

A licence is only issued if the FSA determines that the applicant, including associated individuals, meets the fit and proper requirements to perform regulated activities.

The fit and proper test is applied both at the initial licensing stage and on an ongoing basis during regulated activity. This assessment includes considerations of integrity (including criminal history), financial standing, and competence.

The FSA maintains case studies of both successful licence applications and instances where applications were not pursued, including related to deposit taking.

The FSA monitors entry controls and reports on the vetting process for individuals in the Banking sector.

Integrity of Banks' Staff	0.8	Very High

The general level of integrity and the operating environment in the IOM is very high. There are strong entry controls in place. Banking is a mature sector; there is often group oversight and a range of policies in place for dealing with staff issues. Staff in specified roles (controlled functions) are subject to a fit and proper test undertaken by the FSA.

Domestic corruption or bribery is not identified as a concern in the IOM. Cases of staff fraud or theft are infrequent, and banks are required to notify the FSA of any matters that may lead to serious disciplinary action being taken against a member of staff; this includes instances where criminal prosecution of a bank employee or controlled function role-holder occurs.

The FSA collects data on notifications concerning fraud, staff discipline, criminal convictions, and employee screening, which may affect assessments of individuals' fitness and propriety. As noted above, the FSA must also be informed of certain disciplinary actions and can prohibit individuals from working in the sector or in particular roles when necessary.

The sector employs approximately 2,000 staff. Notifications to the FSA since 2020 show that, on average, around **0.5%** of employees faced potential serious disciplinary action, some cases of which related to dishonesty but none of which concerned employees in controlled function roles (key persons).

Core banking practices include robust recruitment processes, performance management, implementation of the "three lines of defence" model (risk management, compliance, audit), a robust policy framework, and continuing professional development requirements including ethics and integrity. IT systems within the sector are effective in managing permissions and procedures around data loss prevention are strong and continue to evolve. The separation of duties is used to reduce risks associated with staff integrity.

AML Knowledge of Banks' Staff	0.8	Very High

The FSA's Training and Competence Framework sets expectations for training and ongoing competence, especially for controlled function roles. Regulated businesses are advised to assess their own risks when applying the framework. Annual AML/CFT training is mandatory for all banking staff, and directors have specific continuing professional development (CPD) requirements. Resources from organisations like the World Bank, FATF, and MONEYVAL are also used, alongside in-house training. The use of technology and AI for training has grown, boosting staff AML knowledge. The FSA checks compliance during inspections and has found no breaches since 2020. Specialist training levels have remained stable, with more compliance staff now in the sector, though recruiting skilled professionals remains challenging.

Effectiveness of Compliance Function	0.8	Very High

In common with other small jurisdictions that support an IFC, there is competition for compliance professionals. However, the banking sector may have access to a larger pool of resources, via support from groups when required.

The large banks have invested heavily in risk management, compliance, and financial crime prevention over the last decade. In 2023, banks increased the number and percentage of staff in compliance functions and reduced the number of vacancies — showing an increasing compliance function. The position in 2024 has been very similar. Banks are required to appoint a Head of Compliance, an MLRO, and a Deputy MLRO, all vetted by the FSA. The Financial Services Rule Book outlines requirements for compliance systems, including internal audit, and requires that material issues are reported to the FSA. Banks are required to monitor and test their AML/CFT procedures. The FSA has found that banks generally have strong compliance expertise and remediate issues effectively, though attracting and retaining skilled compliance staff can be a challenge.

Sector		2022	2023	2024
Banks	Staff Vacancies as %	7.4%	5.6%	8.7%
Banks	Compliance staff as % of overall staff	4.0%	5.6%	6.3%
Banks	Compliance Staff Vacancies as %	10.8%	6.5%	3.4%

Effectiveness of Suspicious Activity Monitoring and Reporting	0.8	Very High

POCA requires that banks report all suspicious transactions – actual or attempted, regardless of the amount. This includes AML/CFT/CPF suspicions under POCA and the Anti-Terrorism and Crime Act 2003 (ATCA). It is an offence not to do so. **Section 24** of the FIU Act 2016 allows banks to report matters that may assist the FIU but are not seen as ML/TF matters.

There is a well-established reporting framework in place. There is also a requirement for ongoing monitoring of customers and transactions in order to identify suspicious transactions. Banks have well embedded and sophisticated systems in place, using automated transaction monitoring systems with transactional records for AML screening, monitoring, and reporting as well as PEP screening. The Banking Sector Guidance provides additional guidance for firms in this area due to the high volumes of customers and transactions.

The FIU inform the FSA of any known issues with banks' reporting (including quality of SARs and their timeliness) and permits the FSA to raise any concerns with banks (through agreed handling conditions). If there are persistent issues, the FSA may undertake a targeted inspection or use this information as part of wider inspection planning. The FIU provides guidance documents as well as feedback to MLROs on SARs submitted. Banks will audit the process themselves through all three lines of defence. The MLROs, who have access to the bank boards, will also flag any issues. The main area of learning continues to be around "request for consent." The IOMFCP has been doing work with banks and TCSPs on a consent training product. However, the quality of feedback score for banks is already very high.

Banks have consistently been one of the largest reporters by sector, and the number of SARs from banks has been steadily increasing since 2020 (noting a levelling off in 2024). The number and generally good quality of reports help to indicate a strong effectiveness in monitoring and reporting. Data from the annual AML/CFT returns to the FSA covers internal and external banking SARs and demonstrates that the sector can effectively identify unusual and suspicious activity and has clear procedures to escalate via the correct channels; the conversion rate of internal disclosures to external was on average **44%** in the last 3 years (2022–2024).

"POCA requires that banks report all suspicious transactions – actual or attempted, regardless of the amount."

Level of Market Pressure to Meet AML Standards	0.8	Very High

AML oversight by external international bodies (e.g. MONEYVAL) and the involvement of the Banking industry in the NRA and international assessments assists understanding of the jurisdictional risks of non-compliance with international AML standards. The government also seeks to educate and inform the sector on risks.

There is ongoing pressure to meet AML requirements, including international Wolfsberg standards for correspondent banking, especially since banks are often part of global groups held to high compliance expectations. Local bank leaders recognise that non-compliance can cause significant reputational damage, business loss, and licensing threats. The industry believes much of this compliance pressure comes from internal ethics rather than correspondent relationships. Banking groups closely monitor compliance risks through strict governance, reporting, and regular internal audits. Correspondent banks use transaction monitoring systems to detect suspicious or sanction-violating activities.

Availability and Access to Beneficial Ownership Information	0.7	High

The AML/CFT/CPF regulatory framework requires banks to collect details of the beneficial ownership of their customers and verify this information. Information about the beneficial ownership of companies and trusts, including those domiciled in the IOM, can be obtained by the bank either directly from the customer or through an authorised introducer, such as a TCSP. If specific criteria are met, including ongoing testing and monitoring by banks, it is permissible for a bank to rely on the introducer to retain the verification documents related to the beneficial owner.

Access to beneficial ownership information contained in company registers varies by country, as does the quality of the information. In December 2024, the IOM made its register accessible to banks and other obliged entities. The Banking sector states that while the IOM register helps confirm existing information or detect changes, it is not used for verification.

The FSA monitors compliance with the Beneficial Ownership Act 2017 (BOA) and evaluates whether relevant persons fulfil their BOA obligations. Details on FSA oversight of the BOA are available here; banks are unlikely to be subject to beneficial ownership inspections.

The working group noted that there may be differences between the information banks look for and what TCSPs are sometimes able to provide for a number of reasons. For instance:

- The bank provides services to a TCSP client, whose directors are often TCSP employees, so their requirements start from different perspectives.
- Banks and TCSPs may approach assessments slightly differently as the nature of services are distinct.

Updating client information can sometimes require extra steps for TCSPs: for example, if the bank requests more recent evidence.

Availability of Reliable Identification Infrastructure	0.7	High

FSA supervision has found no specific shortcomings in how banks identify and verify customers. Some banks have also undertaken data remediation exercises as part of ongoing monitoring to make sure their customer data is up to date and accurate (including to help with periodic customer risk assessments). Most banks use strict group-wide controls and procedures that must be followed before onboarding new clients. Banks typically require a government-issued passport or Isle of Man driving licence, plus supporting documents, as local photo ID for onboarding. There are procedures to accommodate those without these documents, such as the elderly or students. The Handbook offers detailed guidance on customer due diligence.

Banks in the IOM serve clients worldwide, so their Business and Customer Risk Assessments take this into account. Staff are trained to detect ID theft and fraudulent documents, and some banks use electronic ID verification tools — mainly for UK residents, where data is more reliable. This is less useful for corporate customers. Technology can also remove the need for certified document copies during onboarding. The Handbook provides detailed customer due diligence guidance, including advice on use of electronic tools.

The sector views physical documents as riskier for identity verification than digital methods like biometrics and real-time likeness checks. Advances in technology have led to fewer fake IDs and false identities, making onboarding more secure. Banks support and encourage real-time facial recognition to improve verification.

Availability of Independent Information Sources	0.7	High

The sources remain unchanged since the last NRA, with limited IOM-specific independent information available.

Banks use various in-house and external tools to screen clients, transactions, and staff during onboarding and monitoring. While specific IOM sources are limited, basic information is available to banks from the Companies Registry in the Isle of Man. Banks also use UK resources such as credit bureaus, government lists, Companies House, PEP information, and regulator registers. These are used for verification but are not the primary means of customer identification.

World Check and other international databases are widely used to screen clients for PEPs, sanctions, and adverse press, and are accessible globally. Banks may also engage third-party due diligence firms to investigate clients. Given the high number of non-resident customers in the IOM, banks there have developed strong expertise in using external data sources.

Company accounts, if needed, are typically obtained directly from the company. Most Isle of Man companies are not required to file accounts with the Companies Registry.

CHAPTER 11

Proposed Actions

11.1 The assessment of money laundering risk within the banking sector highlights a number of areas where further improvement is advisable. These findings are closely aligned with the strategic objectives outlined in the National Financial Crime Strategy for 2024-2026. The proposed actions are detailed in Figure 16 below, along with references to the relevant sections of this report. By addressing these areas, the sector and the authorities can continue to strengthen the framework against financial crime and ensure a robust, resilient approach to managing risk.

Figure 16: Proposed Actions

Public sector and industry work together to achieve a common goal of meeting international standards	
1	**Typologies presented to industry and agencies, including using the IOMFCP (sections 2.2, 8.6, 9.3, 9.4, 9.7 and 10.3)**
• As part of embedding the operation of the IOMFCP for the Banking sector, a programme of preparing and publishing typologies based on actual cases should continue to be expanded. This will assist the sector to continue to improve, learn, develop, and maintain a robust control environment.	
2	**Development of the fraud ecosystem (including ML) (sections 2.2, 8.6, 9.3 and 9.7)**
• To continue to help protect customers of banks in the IOM, relevant stakeholders (banks, the FSA, FIU, other Government agencies) should continue to develop workstreams to help reduce fraud risks, not only from the ML perspective, but more generally. The IOMFCP is expected to play a role in this work.	
Actions are informed and driven by best practice and standards, both domestically and internationally	
1	**Improvements in data – banking financial flows (sections 2.2, 8.6, 9.3 and 9.5)**
• The FSA should continue to work with banks on ensuring the data it receives is of good quality and accurate, and if necessary, provide further guidance for banks.	
• Taking into account the supervisory structure within the FSA and improvements in data systems and analytical capability that have been implemented, policies and procedures should be put in place to document how the data is used and analysed, how frequently reports are produced and their scope and content, and to which parties such reporting is made (including outside the FSA: for example, to the FIU, banks, and IOMFCP).	
• The FSA should consider conducting a review of the financial flow data points in conjunction with stakeholders (including banks), and whether there is merit in considering expanding this to capture flows by certain business or customer segments.	

APPENDIX I

Legal, regulatory and supervisory framework[21]

Anti-Money Laundering and Countering the Financing of Terrorism Code 2019 (AML/CFT Code)

Anti-Money Laundering and Countering the Financing of Terrorism Handbook 2025

Anti-Terrorism and Crime Act 2003

Beneficial Ownership Act 2017

Criminal Justice Acts 1990 and 1991

Financial Intelligence Unit Act 2016

Financial Services Rule Book 2016

Financial Services Act 2008

Information Accompanying Transfers of Funds Regulations 2016 (Wire Transfer Regulations) 2017

Proceeds of Crime Act 2008

Terrorism and Other Crime (Financial Restrictions) Act 2014



APPENDIX II

Jurisdictions where countermeasures are required and those that may pose a higher risk

Throughout this document, consideration is given to the exposure that banks and their customers may have to jurisdictions that are considered likely to be exposed to a greater level of money laundering threat. The lists are published by the Department of Home Affairs and updated whenever changes occur. Industry is accustomed to updating their own systems and relevant procedures and controls using these Lists.

The Island has identified countries by the risk they pose:

- **'List A'** is a list specifying jurisdictions which the FATF has made a call on its members and other jurisdictions to apply countermeasures to protect the international financial system from the on-going and substantial risks of ML/TF emanating from the jurisdiction. **List A** currently comprises 3 jurisdictions.

- **'List B'** is a list specifying jurisdictions with strategic AML/CFT deficiencies or those considered may pose a higher risk of ML/TF. List B is made up of two lists:

  - **List Bi** – consists of countries that FATF has identified as having strategic AML/ CFT deficiencies for which they have developed an action plan with the FATF. It also identifies a number of jurisdictions as not having made sufficient progress on their action plans agreed with the FATF

  - **List Bii** - this section specifies additional jurisdictions that have also been identified as those that may pose a higher risk of ML or TF by the IOM Government. The list is prepared, in accordance with an established methodology, using data gathered from various commercial intelligence sources that cover ML, TF, crime, transparency and bribery / corruption risk.

The June 2025 (3 July 2025) published lists were used for this document with the exception of payment flows, which used the November 2024 list (effective as at 31 December 2024).

NON-HIGHER RISK JURISDICTIONS:

- **'List C'** is a list specifying countries which are considered to have an AML/CFT regime of approximately equivalent standard to that of the IOM

- **'List D'** – Disclosures within a "Group" List

- **Lists C&D** are referred to as 'other' in some figures

APPENDIX III

Inherent Vulnerability

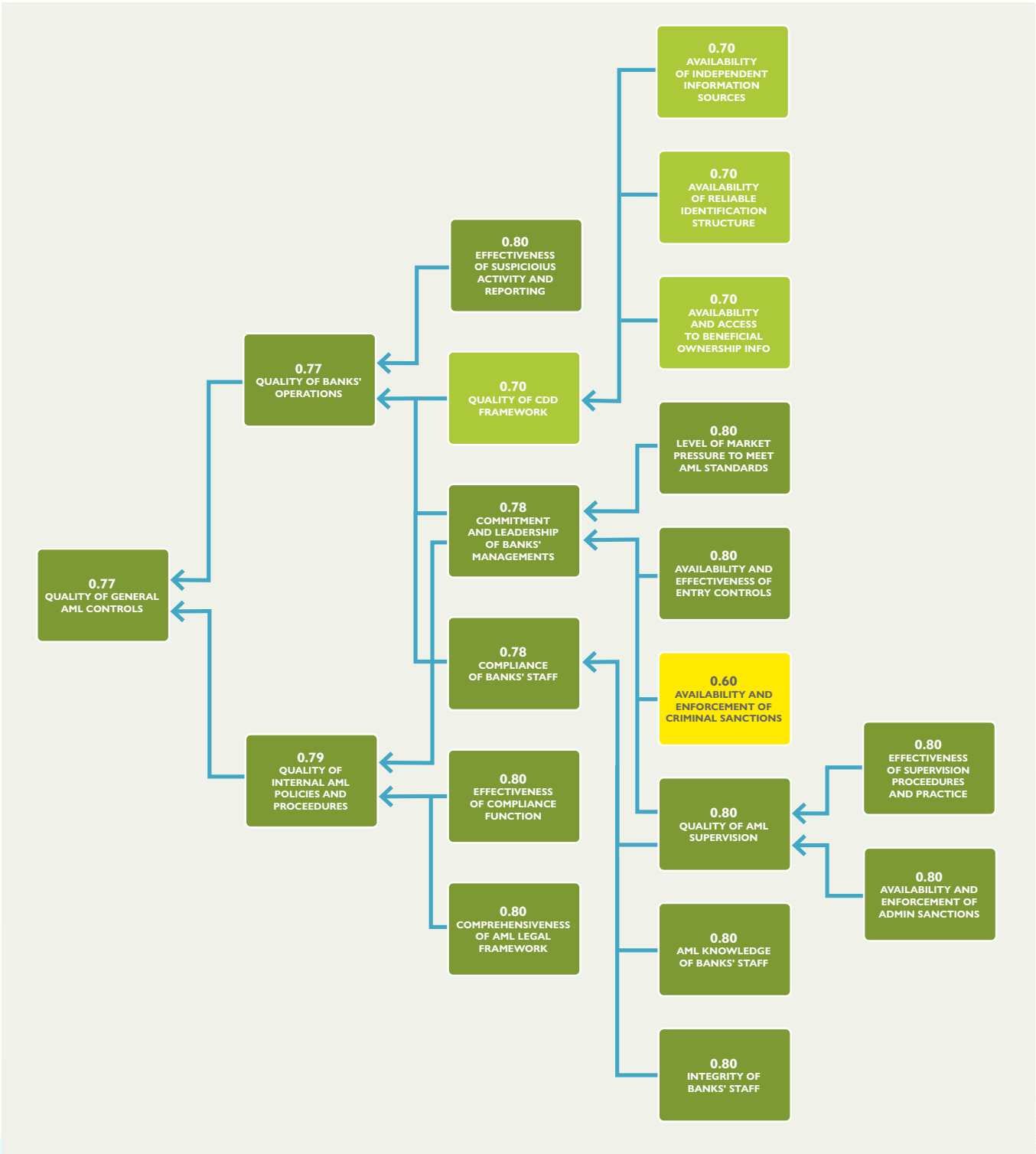
	Retail & Private Banking (individuals)			
Inherent Vulnerability Factors	**Dom. Deposit Services**	**Dom. Credit Services**	**Int. Deposit Services**	**Int. Credit Services**
Total size / value	Medium	Medium Low	High	Medium Low
Average transaction size	Medium Low	Low	Medium	Medium Low
Client base profile	Low Risk	Very Low Risk	High Risk	Low Risk
Existence of deposit / investment feature	Available	Not Available	Available & Prominent	Available but Limited
Level of cash activity	Medium	Low	Medium Low	Does Not Exist
Frequency of international transactions	Low	Does Not Exist	Medium High	Medium Low
Anonymous use of product / service	Not Available	Not Available	Not Available	Not Available
Existence of ML Typologies	Exist	Exist but Limited	Exist	Exist but Limited
Use in fraud or tax schemes	Exist	Exist but Limited	Exist	Exist
Difficulty in tracing transaction records	Easy to Trace	Easy to Trace	Easy to Trace	Easy to Trace
Non face-to-face use	Available but Limited	Available but Limited	Available & Prominent	Available & Prominent
Delivery through agents	Does not Exist	Does not Exist	Does not Exist	Does not Exist

	Corporate, Commercial & Institutional Banking					
Inherent Vulnerability Factors	**Dom. Charities & NPOs**	**Int Charities & NPOs**	**Business, Corp & Trust (Dom)**	**Business, Corp & Trust (TCSP mgd)**	**Business, Corp & Trust (other)**	**Institutional**
Total size / value	Low	Low	Medium	Medium	Medium	Medium High
Average transaction size	Low	High	Medium Low	Medium High	Medium High	High
Client base profile	Low Risk	High Risk	Medium Risk	High Risk	High Risk	Medium Risk
Existence of deposit / investment feature	Available	Available & Prominent	Available	Available & Prominent	Available & Prominent	Available & Prominent
Level of cash activity	Medium Low	Low	Medium	Low	Low	Low
Frequency of international transactions	Low	Medium Low	Medium Low	Medium High	Medium High	Medium High
Anonymous use of product / service	Not Available	Not Available	Not Available	Availanle	Available	Available
Existence of ML Typologies	Exist but Limited	Exist but Limited	Exist	Exist	Exist	Exist
Use in fraud or tax schemes	Exist but Limited	Exist	Exist	Signiticant	Signiticant	Exist but Limited
Difficulty in tracing transaction records	Easy to Trace	Easy to Trace	Easy to Trace	Easy to Trace	Easy to Trace	Easy to Trace
Non face-to-face use	Available but Limited	Available	Available but Limited	Available	Available	Available
Delivery through agents	Does not Exist	Does not Exist	Does not Exist	Does not Exist	Does not Exist	Does not Exist

Source: WB module assessment

APPENDIX IV

Vulnerability Map



Source: WB module assessment

APPENDIX V

Banking Typologies

Typology	Scenario Summary	Key Risk Indicators
Disguised Proceeds as Business Revenue	An Isle of Man company (Company X) opens a bank account, claiming profits stem from its TCSP operations abroad. Within six months, the bank observes unusually high transaction volumes for a new business. Investigation uncovered that the company is under scrutiny in another jurisdiction for money laundering services to organised crime groups.	• High volume of funds for new business • Cross-border company structure • Links to jurisdictions with known financial crime risk
Bribery and Corruption	Application for a transactional account by a foreign national, director and partial owner of a company from a country with low Corruption Perceptions Index score. Adverse media reveals past bribes; individual in a senior role at the time. Application declined and reported.	• Applicant from high-risk country • Negative media/SEC Order • Connection to historical bribery cases
Human Trafficking & Modern Slavery	Multiple individuals, all tied to one business and with the same small residential address, open accounts. CDD reveals all have relocated for work, but branch staff note the group often visits together with an unidentified third party. Concerns arise about potential modern slavery or trafficking.	• Unusually high number of unrelated adults at same address • Accounts opened for salary, daily use • Group accompanied by unidentified third party
Cash Movement to Launder Criminal Proceeds	Large sums of Manx currency deposited locally, quickly withdrawn as UK sterling at Isle of Man seaport/airport ATMs, and then carried off-island. The pattern suggests cash movement intended to facilitate laundering and remove illicit funds.	• Immediate withdrawal of deposited cash • Use of ATMs dispensing foreign currency • Frequent travel coinciding with withdrawals
Drug Trafficking Indicators	Retail employee's account sees excessive turnover, mostly third-party payments for games consoles and designer goods. Repetitive sales of the same items, frequent outbound transfers, and cash withdrawals at sea terminal ATMs point to possible illicit trade and money laundering.	• Excessive account turnover vs. stated income • Multiple incoming third-party payments • Cash withdrawals at transport terminals

Glossary of terms

Key Agency/Term/Acronym	Meaning
AI	Artificial Intelligence
AML	Anti-Money Laundering
AML/CFT	Anti-Money Laundering and Countering the Financing of Terrorism
APP	Authorised Push Payment
ATCA	Anti-Terrorism and Crime Act 2003
BOA	Beneficial Ownership Act
BRA	Business Risk Assessment
BVI	British Virgin Islands
CDD	Customer Due Diligence
CEP/CEPs	Commercially Exposed Person(s)
CFT	Combatting/ Countering the Financing of Terrorism
C&I	Customs & Immigration Division
CPD	Continuing Professional Development
CFP	Counter Financing of Proliferation
Code	Anti-Money Laundering and Countering the Financing of Terrorism Code 2019
CRA	Customer Risk Assessment
DNFBPs	Designated Non-Financial Businesses and Professions
FATF	Financial Action Task Force
FCSB	Financial Crime Strategic Board
FIs	Financial Institutions
FIU	Financial Intelligence Unit
FSA/ Authority	Isle of Man Financial Services Authority
FX	Foreign Exchange
GBP	British Pound Sterling
Hong Kong SAR	Hong Kong Special Administrative Region
HNWI	High Net Worth Individual

Key Agency/Term/Acronym	Meaning
ICART	International Co-operation and Asset Recovery Team
IFC	International Finance Centre
IOM	Isle of Man
IOMFCP	Isle of Man Financial Crime Partnership
Manx	Relating to the Isle of Man
ML	Money Laundering
MLRO	Money Laundering Reporting Officer
NPO	Non-Profit Organisation
NRA	National Risk Assessment
OCG	Organised Crime Group
PEP /PEPs	Politically Exposed Person(s)
PF	Proliferation Financing
PIMLIT	Proactive International Money Laundering Investigation Team
POCA	Proceeds of Crime Act 2008
Mutual legal SAR/SARs	Suspicious Activity Report(s)
TCSP/TCSPs	Trust and Corporate Service Provider(s)
TF	Terrorist Financing
Themis	The FIU's online reporting mechanism, which is the single point of contact for regulated entities in relation to: Reporting under the Proceeds of Crime or Terrorism Legislation; Reporting under Section 24 of the FIU Act; Reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information.
TRA	Technology Risk Assessment
UAE	United Arab Emirates
UK	United Kingdom
UNODC	United Nations Office on Drugs and Crime
USA	United States of America
USTD	Tether (a type of cryptocurrency)
WB	World Bank